

Unit- II

Importance of Business case

In project management, the business case is particularly important because it provides the foundation for deciding whether a project should be initiated and whether it continues to remain worthwhile as circumstances change.

A business case is a structured document that explains why a project, investment, or business initiative should be undertaken. It provides a logical justification for allocating money, people, time, and other resources to a proposed activity.

A business case answers five fundamental questions:

- 1.What is the problem or opportunity?**
- 2.What solution is being proposed?**
- 3.How much will it cost?**
- 4.What benefits will it generate?**
- 5.Why should the organisation invest in it?**

Why is a Business Case Important?

Importance

1. Supports decision-making

2. Establishes justification

3. Estimates costs and benefits

4. Identifies risks

5. Aligns with strategy

6. Helps obtain funding

7. Provides a basis for evaluation

Explanation

Helps management decide whether a project is worth pursuing.

Demonstrates the need and expected value of the project.

Compares investment requirements with expected financial and non-financial benefits.

Highlights possible risks and how they can be managed.

Ensures that the project contributes to organisational goals.

Provides evidence for management, investors, banks, or other funding agencies.

Later, actual performance can be compared with the benefits and costs originally projected.

Example: Setting Up an Online Sales Platform

Suppose a small retail company currently sells products only through its physical store. Management is considering investing ₹10 lakh to develop an online sales platform.

The business case might look like this:

Problem:

The company is losing customers to competitors that offer online shopping. Its geographical market is also limited to nearby customers.

Proposed solution:

Develop an e-commerce website and mobile-friendly online ordering system.

Estimated investment:

- Website and technology: ₹4 lakh
- Digital marketing: ₹2 lakh
- Inventory and logistics integration: ₹2 lakh
- Training and implementation: ₹1 lakh
- Contingency: ₹1 lakh

Total investment = ₹10 lakh

Expected benefits:

- Additional annual sales: ₹25 lakh
- Estimated additional profit: ₹5 lakh per year
- Access to customers outside the local market
- Improved customer convenience
- Better customer and sales data
- Increased brand visibility

If the expected additional profit is ₹5 lakh per year, the simple payback period would be:

$$\begin{aligned}\text{Payback Period} &= \text{Initial Investment} \div \text{Annual Benefit} \\ &= ₹10 \text{ lakh} \div ₹5 \text{ lakh} = 2 \text{ years}\end{aligned}$$

Therefore, management may conclude that the investment is commercially attractive, provided the assumptions, risks, and market conditions are reasonable.

Developing a Business Case

A business case can generally be developed through the following steps:

1. Identify the Problem or Opportunity

Clearly define why the organisation needs to undertake the project.

Questions to consider:

- What problem currently exists?
- What opportunity is available?
- What happens if we do nothing?
- Who will be affected?

Example:

A retail company is losing customers because competitors provide online shopping facilities. The company therefore identifies an opportunity to establish an e-commerce platform.

2. Define the Business Objectives

The objectives should explain what the organisation wants to achieve.

For example:

- Increase sales by 20% within two years.
- Reach customers outside the local market.
- Improve customer convenience.
- Reduce dependence on physical-store sales.

Objectives should ideally be SMART—Specific, Measurable, Achievable, Relevant and Time-bound.

4. Conduct a Feasibility Analysis

The proposed solution should be examined from different perspectives.

Technical feasibility: Can the organisation implement the technology?

Financial feasibility: Can the organisation afford the investment, and will it generate sufficient returns?

Operational feasibility: Can employees and existing systems support the project?

Legal/regulatory feasibility: Are there any legal or regulatory constraints?

Market feasibility: Is there sufficient customer demand?

5. Estimate Costs

All major project costs should be identified. For our e-commerce example, The analysis should also consider recurring operating costs, not only the initial investment.

Cost Item	Estimated Cost
Website and technology	₹4 lakh
Digital marketing	₹2 lakh
Inventory/logistics integration	₹2 lakh
Employee training	₹1 lakh
Contingency	₹1 lakh
Total Initial Investment	₹10 lakh

6. Estimate Benefits

Benefits can be financial and non-financial.

Financial benefits:

- Increased sales
- Increased profit
- Reduced operating costs
- Improved productivity

Non-financial benefits:

- Higher customer satisfaction
- Improved brand image
- Wider market reach
- Better customer information
- Competitive advantage

Suppose the new platform is expected to generate an additional ₹5 lakh annual profit.

The simple payback period would be:

$$\begin{aligned} \text{Payback Period} &= \text{Initial Investment} \div \text{Annual Profit} \\ &= ₹10 \text{ lakh} \div ₹5 \text{ lakh} = 2 \text{ years} \end{aligned}$$

Thus, the initial investment could potentially be recovered within two years.

7. Assess Risks

Every business case should identify major risks.
For example:

Risk	Possible Impact	Mitigation
Low customer adoption	Lower sales	Strong digital marketing
Cybersecurity problems	Financial/reputational loss	Security controls
Technology failure	Business disruption	Backup and support systems
Higher-than-expected costs	Lower profitability	Cost monitoring
Strong competition	Lower market share	Competitive pricing and service

8. Analyse Financial Viability

Management may use financial measures such as:

- Payback Period
- Return on Investment (ROI)
- Net Present Value (NPV)
- Internal Rate of Return (IRR)
- Cost–benefit analysis

For example, if the project requires ₹10 lakh and generates ₹5 lakh additional profit annually, the simple annual ROI based on the initial investment is:

$$\begin{aligned}\text{ROI} &= \text{Annual Benefit} \div \text{Initial Investment} \times 100 \\ &= ₹5 \text{ lakh} \div ₹10 \text{ lakh} \times 100 = 50\%\end{aligned}$$

This indicates a potentially attractive investment, although a proper business case should also account for taxes, depreciation, financing costs, cash flows, inflation, and the time value of money where appropriate.

9. Develop the Preferred Business Case

After comparing alternatives, management selects the preferred option.

For example:

Recommended Option: Develop a company-owned e-commerce platform with outsourced logistics and payment integration.

The recommendation should explain why this option provides the best balance between cost, benefits, risk, feasibility and strategic alignment.

10. Prepare the Business Case Document

A well-developed business case can follow this structure:

Business Need → Objectives → Options → Feasibility → Costs → Benefits → Risks → Financial Analysis → Strategic Alignment → Recommendation → Implementation Plan

Development of an E-Commerce Platform

Element	Business Case
Business problem	Declining physical-store growth and limited geographical reach
Opportunity	Expand into online markets
Objective	Increase sales and reach new customers
Investment	₹10 lakh
Expected annual additional profit	₹5 lakh
Simple ROI	50% per year
Payback period	2 years
Major risks	Competition, cybersecurity, low customer adoption
Recommended solution	Develop an e-commerce platform

Developing a business case is the process of proving that ***“this is the problem, this is the proposed solution, this is what it will cost, this is what we will gain, these are the risks, and therefore this is why the organisation should—or should not—invest in the project.”***

This is particularly important in project management, ***because the business case provides the foundation for project initiation and helps ensure that resources are invested in projects that deliver genuine organisational value.***

Case study

Developing a Business Case for Establishing a New University

Scenario

A group of educationists and investors proposes to establish a private multidisciplinary university in Satna, Madhya Pradesh, offering programmes in Management, Economics, Engineering, Computer Science, Law, Agriculture, and emerging areas such as Artificial Intelligence and Data Analytics.

The proposed university will serve students from Madhya Pradesh and neighbouring states.

Step 1: Identify the Problem or Opportunity

The first step is to identify the **need for the university**.

Existing problem

The region has:

- Limited availability of high-quality multidisciplinary higher education.
- Students migrating to Bhopal, Indore, Delhi, Jaipur and other cities.
- Increasing demand for professional and technology-oriented programmes.
- Growing demand for industry-ready skills.
- Limited integration of research, entrepreneurship and innovation in some existing institutions.

Opportunity

The proposed university can capture this unmet demand by providing:

Quality Education + Employability + Research + Innovation + Industry Linkages

Therefore, the business opportunity is to establish a university that becomes a regional centre for higher education and skill development.

Step 2: Define Business Objectives

The university's objectives could be:

1. Establish a multidisciplinary university with modern academic infrastructure.
2. Enrol approximately 2,000 students in the initial phase.
3. Gradually increase enrolment to 8,000–10,000 students.
4. Develop strong industry and international academic partnerships.
5. Establish research and innovation centres.
6. Achieve financial sustainability within a defined period.
7. Create employment opportunities for faculty and administrative staff.
8. Develop entrepreneurship and incubation facilities.

SMART Objective Example

To establish a financially sustainable multidisciplinary university and achieve an enrolment of 5,000 students within five years of commencement of academic operations.

Step 3: Identify Alternative Solutions

The promoters should not automatically conclude that establishing a university is the only solution. They could consider:

Option	Description
Option 1 – Do nothing	No new institution is established.
Option 2 – Establish a college	Start with a limited number of undergraduate/postgraduate programmes.
Option 3 – Establish a university	Establish a full multidisciplinary university.
Option 4 – Education partnership	Collaborate with an existing university/institution.

Comparison

A university requires a much larger investment, but it provides greater autonomy in programme development, research, partnerships and long-term expansion. Therefore, if the market study supports sufficient demand, Option 3 may be preferred.

Step 4: Conduct Feasibility Analysis

Before investing, the promoters must determine whether establishing the university is actually feasible.

A. Market Feasibility

Study:

- Student population in the region
- Existing universities and colleges
- Competitor fee structures
- Demand for different programmes
- Student migration
- Employment opportunities
- Parent/student preferences

For example, market research may indicate strong demand for:

- BBA/MBA
- BCA/MCA
- B.Tech
- B.Sc. Data Science
- Economics
- Law
- Agriculture
- Artificial Intelligence
- Healthcare-related programmes

B. Technical/Infrastructure Feasibility

Determine requirements for:

- Land
- Academic buildings
- Laboratories
- Library
- Computer centres
- Hostels
- Sports facilities
- Auditorium
- Administrative buildings
- Research centres
- Digital learning infrastructure

C. Academic Feasibility

The university needs:

- Qualified faculty
- Academic leadership
- Schools/departments
- Curriculum
- Examination system
- Research facilities
- Academic regulations
- Student support services

D. Legal/Regulatory Feasibility

The promoters must examine the applicable central and state laws, regulatory approvals, land/infrastructure requirements, academic regulations and accreditation/recognition requirements before proceeding. The exact requirements depend on the proposed type of university and jurisdiction.

Step 5: Estimate Project Costs

Suppose the preliminary project estimate is:

Major Component	Estimated Cost
Land and site development	₹30 crore
Academic buildings	₹40 crore
Laboratories and equipment	₹15 crore
Library and digital infrastructure	₹5 crore
Hostels and residential facilities	₹20 crore
Sports and student facilities	₹5 crore
IT infrastructure	₹5 crore
Initial working capital	₹10 crore
Contingency	₹10 crore
Total Estimated Investment	₹140 crore

Note : These are illustrative figures for understanding the business-case process, not an actual cost estimate for establishing a university.

Step 6: Estimate Revenue and Benefits

The university can generate revenue primarily through:

- Tuition fees
- Hostel fees
- Research grants
- Consultancy
- Executive education
- Training programmes
- Continuing education
- Industry-sponsored projects
- Innovation/incubation activities

Illustrative calculation

Suppose:

Average annual fee = ₹1.50 lakh

and

Initial students = 2,000

Then:

Annual tuition revenue = $2,000 \times ₹1.50 \text{ lakh}$
= ₹30 crore

If enrolment increases to 5,000 students:

Annual tuition revenue = $5,000 \times ₹1.50 \text{ lakh}$
= ₹75 crore

This demonstrates why student enrolment is one of the most important assumptions in the university business case.

Step 7: Identify Risks

Establishing a university involves substantial risks.

Risk	Possible Impact	Mitigation
Lower-than-expected enrolment	Reduced revenue	Strong marketing and differentiated programmes
Regulatory delays	Delayed commencement	Early regulatory planning and compliance
Difficulty recruiting faculty	Quality concerns	Competitive compensation and academic environment
High construction costs	Budget overrun	Phased construction and cost controls
Strong competition	Lower market share	Focus on niche programmes and quality
High operating costs	Financial pressure	Phased expansion
Reputation risk	Lower admissions	Strong quality assurance
Changes in education policy	Operational uncertainty	Continuous regulatory monitoring

Step 8: Financial Analysis

Now management must determine whether the university can become financially sustainable.

Suppose:

Initial investment = ₹140 crore

Expected annual operating surplus after stabilisation:

₹15 crore

A simple payback calculation would be:

Payback Period = Initial Investment ÷ Annual Cash Surplus

= ₹140 crore ÷ ₹15 crore

= approximately 9.3 years

However, a university is a long-term investment, so simple payback is not sufficient.

A proper business case should also examine:

- NPV
- IRR
- Cash-flow projections
- Break-even enrolment
- Sensitivity analysis
- Scenario analysis

Example of Sensitivity Analysis

What happens if student enrolment is lower than expected?

*Illustrative calculation using ₹1.5 lakh average annual tuition fee. This analysis tells the promoters how vulnerable the project is to changes in enrolment.

Scenario	Students	Approx. Tuition Revenue*
Pessimistic	1,500	₹22.5 crore
Base case	2,000	₹30 crore
Optimistic	2,500	₹37.5 crore

Step 9: Select the Preferred Option

After examining the alternatives, the promoters might conclude:

Recommended option: Establish a multidisciplinary university through a phased development model.

Instead of constructing everything at once, the university could develop in phases.

Phase I

- Management
- Economics
- Computer Science
- Commerce
- Basic Sciences

Phase II

- Engineering
- Law
- Agriculture
- Data Science/AI

Phase III

- Advanced research centres
- International collaborations
- Ph.D. programmes
- Innovation and incubation centre
- Executive education

This reduces the initial financial and operational risk.

Step 10: Prepare the Final Business Case

The final business case could be presented as follows:

Proposed University – Business Case Summary

1. Business Need:

Increasing demand for quality higher education in the region.

2. Opportunity:

Create a multidisciplinary university serving students from the region and neighbouring states.

3. Vision:

To become a centre of excellence in education, research, innovation and entrepreneurship.

4. Investment Required:

Illustratively ₹140 crore.

5. Initial Target:

2,000 students.

6. Long-term Target:

5,000–10,000 students.

7. Revenue Sources:

Tuition, hostel, research, consultancy, executive education and industry projects.

8. Major Risks:

Regulatory approval, enrolment, faculty recruitment, competition and cost overruns.

9. Recommended Strategy:

Phased development with strong emphasis on quality, employability, research and industry collaboration.

10. Final Decision:

Proceed only after satisfactory regulatory, market, financial and academic feasibility studies.

Simple Flow for Students

You can explain the whole process in your classroom through this flow:

Need/Opportunity



Business Objectives



Alternative Solutions



Feasibility Study



Cost Estimation



Benefit Estimation



Risk Analysis



Financial Analysis



Option Selection



Implementation Plan



Business Case Approval



University Project Initiation

A business case for a university answers the fundamental question: “Why should we invest ₹X crore to establish this university, what value will it create, what risks will we face, and is the investment financially and strategically justified?”